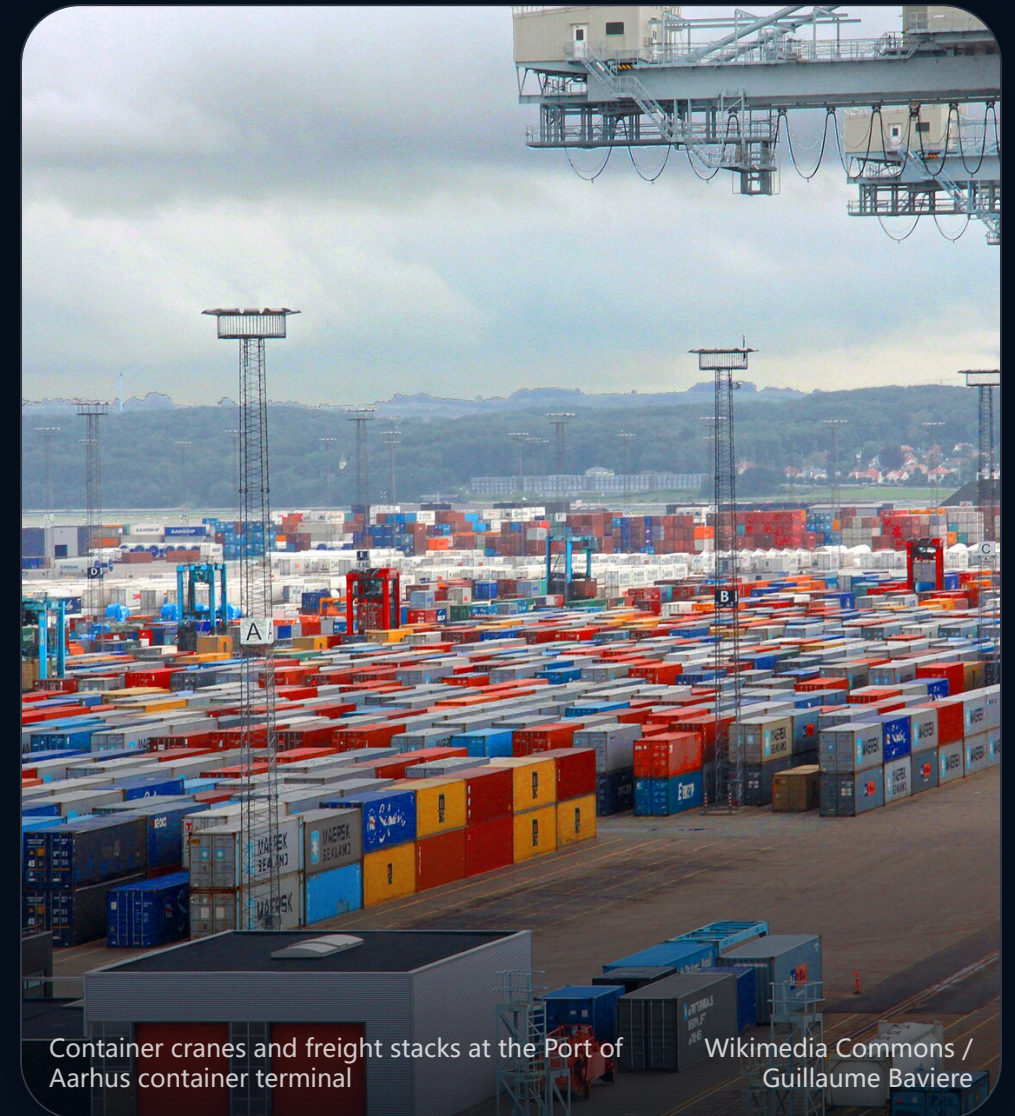


Supply-side policy lesson 4 - 4.4.3

Effects and evaluation

影响与评价

How do capacity, productivity and competitiveness affect macroeconomic aims?



Container cranes and freight stacks at the Port of Aarhus container terminal

Wikimedia Commons / Guillaume Baviere

Recall last lesson

RECALL

On paper, write one sentence for each term.

1 Supply-side policy

2 Privatisation

3 Deregulation

Compare with a partner before revealing the model answers.

Recall last lesson

RECALL

On paper, write one sentence for each term.

1 Supply-side policy

Policy measures designed to increase productive capacity and total supply by improving resources, efficiency or factor mobility.

2 Privatisation

The sale or transfer of assets from the public sector to the private sector.

3 Deregulation

The removal or reduction of government rules and regulations affecting firms.

Compare with a partner before revealing the model answers.

**If firms become more
productive, which
macroeconomic aims might
improve at the same time?**

By the end, you can

1

Explain supply-side effects on growth, employment and prices.

解释供给侧政策对增长、就业和价格的影响。

2

Explain effects on competitiveness and the current account.

解释对竞争力和经常账户的影响。

3

Evaluate supply-side policy in Paper 2 answers.

在 Paper 2 答案中评价供给侧政策。

Growth and employment

增长与就业

1 Growth and employment

2 Prices and competitiveness

3 Evaluation



How productivity supports growth

生产率如何支持经济增长

1

Output per worker



每名工人的产出增加



2

Productive capacity



生产能力提高



3

Firms can produce more



企业能够生产更多产出



4

Real GDP may



实际国内生产总值可能增加

How productivity supports growth

生产率如何支持经济增长

1

Output per worker

rises

每名工人的产出增加

>

2

Productive capacity

increases

生产能力提高

>

3

Firms can produce more

output

企业能够生产更多产出

>

4

Real GDP may

rise

实际国内生产总值可能增加

Check

Why can higher productivity support economic growth?

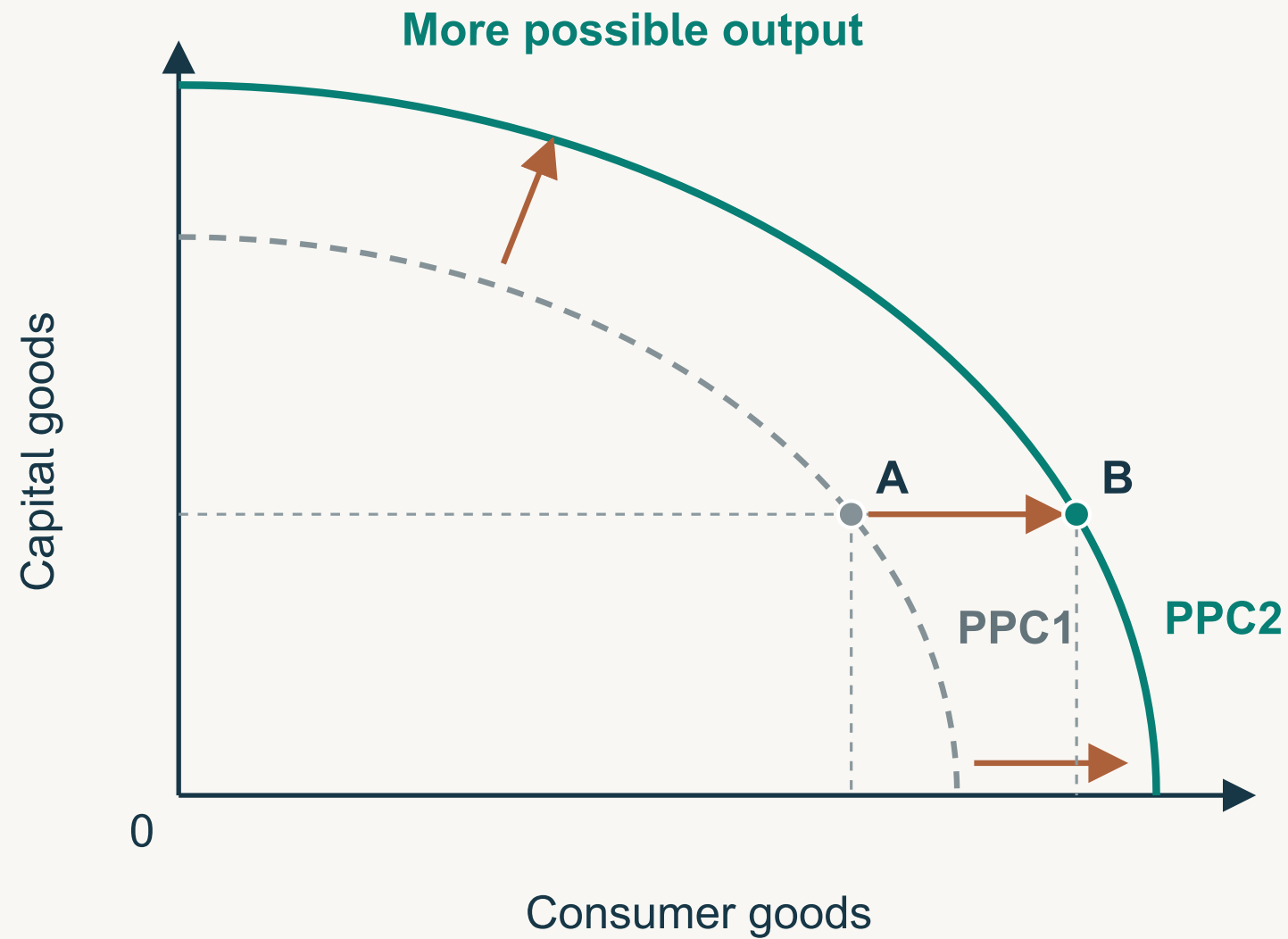
- ☐ A It automatically makes everyone buy more.
- ☐ B It allows more real output to be produced from available resources.
- ☐ C It always raises the price of every product.
- ☐ D It removes every need for investment.

Check

Why can higher productivity support economic growth?

- ☐ A It automatically makes everyone buy more.
- ☒ B It allows more real output to be produced from available resources.
- ☐ C It always raises the price of every product.
- ☐ D It removes every need for investment.

Higher productivity can raise productive capacity and real output. Demand still affects how much of that capacity firms use.



Growth on a PPC

STEP 4 / 4

Read what the shift means

At the same output of capital goods, the economy can produce more consumer goods.

资本品产量不变时，经济体能生产更多消费品。

Higher capacity means more possible output; demand affects how much is used.

**Why can a country have
unemployed workers and
unfilled jobs at the same time?**

How better skills support employment

更好的技能如何促进就业

1

Training improves workers'



培训提高工人技能



2

Workers match available



工人与现有空缺岗位匹配



3

Firms may
more workers
企业可能雇用更多工人



4

Structural unemployment
may
结构性失业可能减少



How better skills support employment

更好的技能如何促进就业

1

Training improves workers'

skills

培训提高工人技能

>

2

Workers match available

vacancies

工人与现有空缺岗位匹配

>

3

Firms may **hire**
more workers

企业可能雇用更多工人

>

4

Structural unemployment
may **fall**

结构性失业可能减少

Will every training course reduce unemployment?

- 1 A course teaches skills that local employers do not need.

Will every training course reduce unemployment?

1 A course teaches skills that local employers do not need.

No

It may fail to improve job matching; policy must target real skills shortages.

Prices and competitiveness

价格与竞争力

1 Growth and employment

2 Prices and competitiveness

3 Evaluation

**Why might a supply-side
policy reduce inflation without
reducing employment?**

How supply-side policy eases price pressure

供给侧政策如何缓解价格压力

1

Workers become more



工人生产率提高



2

Costs per unit may



单位成本可能下降



3

Firms can increase total



企业能够增加总供给



4

Cost-push inflationary pressure may



成本推动的通胀压力可能下降

How supply-side policy eases price pressure

供给侧政策如何缓解价格压力

1

Workers become more
productive

工人生产率提高

>

2

Costs per unit may
fall

单位成本可能下降

>

3

Firms can increase total
supply

企业能够增加总供给

>

4

Cost-push inflationary
pressure may
fall

成本推动的通胀压力可能下降

Check

Which link explains lower cost-push inflationary pressure?

- A** Higher productivity can lower unit costs.
- B** Higher productivity guarantees higher wages only.
- C** Supply-side policy always lowers interest rates.
- D** More skills always reduce output.

Check

Which link explains lower cost-push inflationary pressure?

- A** Higher productivity can lower unit costs.
- B** Higher productivity guarantees higher wages only.
- C** Supply-side policy always lowers interest rates.
- D** More skills always reduce output.

Lower costs per unit make firms less likely to raise prices as quickly.

If two countries sell equally good bicycles, how could lower production costs help one country sell abroad?

How competitiveness can improve trade

竞争力如何改善贸易

1

Quality improves or unit costs



质量改善或单位成本下降



2

Exports become more



出口产品更有竞争力



3

Export sales may



出口销售可能增加



4

The current account may



经常账户可能改善

How competitiveness can improve trade

竞争力如何改善贸易

1

Quality improves or unit costs **fall**

质量改善或单位成本下降

>

2

Exports become more **competitive**

出口产品更有竞争力

>

3

Export sales may **rise**

出口销售可能增加

>

4

The current account may **improve**

经常账户可能改善

Must the current account improve?

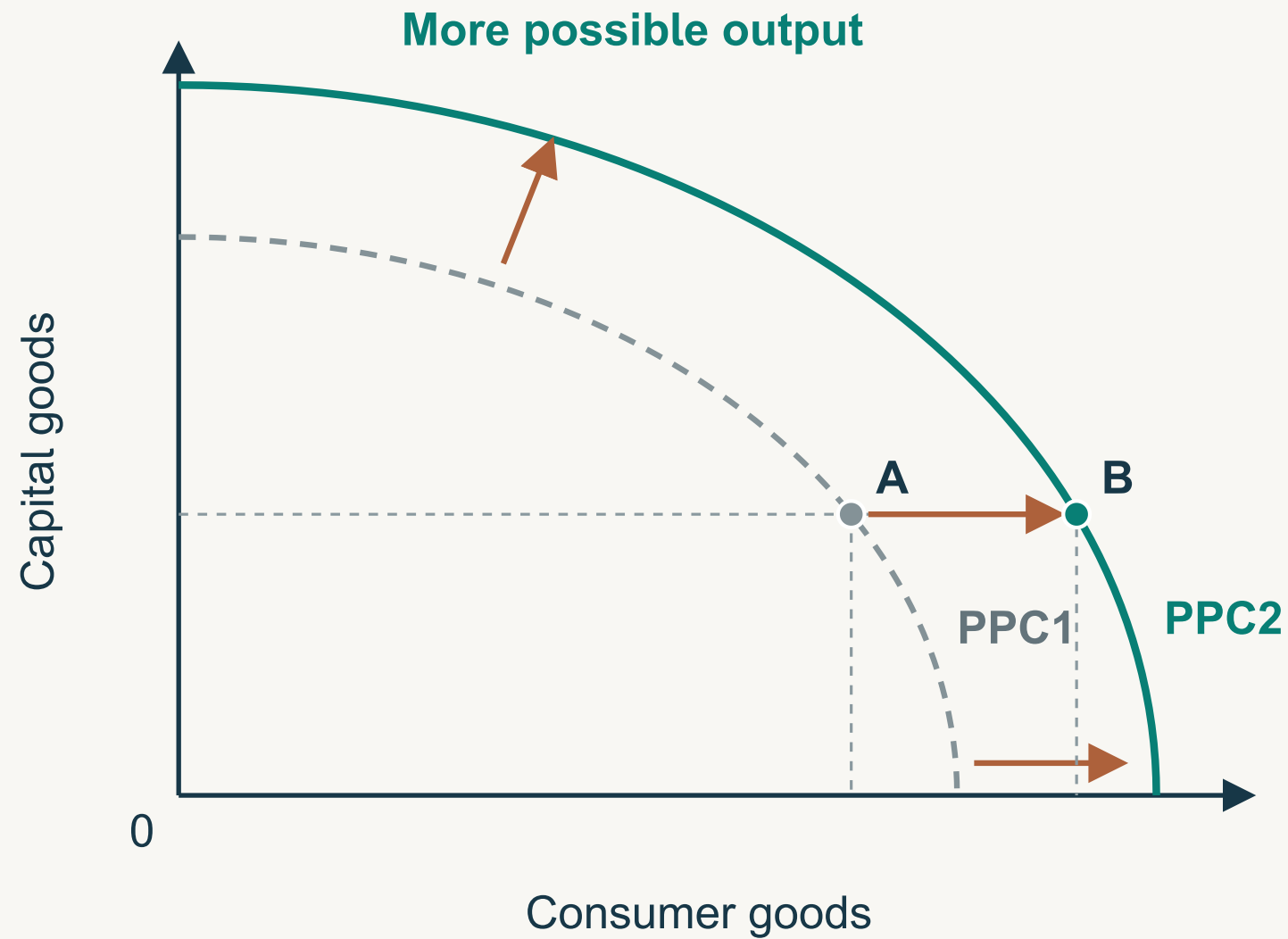
- 1 Exports rise, but import spending rises by even more.

Must the current account improve?

1 Exports rise, but import spending rises by even more.

No

Higher exports alone do not guarantee an improved trade balance or current account.



Effects on macro aims

STEP 4 / 4

Read what the shift means

At the same output of capital goods, the economy can produce more consumer goods.

资本品产量不变时，经济体能生产更多消费品。

Higher capacity means more possible output; demand affects how much is used.

Fill in the blanks

- 1 Higher productivity can reduce average .
- 2 Lower costs may reduce cost-push .
- 3 More competitive exports may improve the current .
- 4 Better skills may reduce structural .

Fill in the blanks

- 1 Higher productivity can reduce average **costs** .
- 2 Lower costs may reduce cost-push **inflation** .
- 3 More competitive exports may improve the current **account** .
- 4 Better skills may reduce structural **unemployment** .

Evaluation

评价

1 Growth and
employment

2 Prices and
competitiveness

3 Evaluation

**The government opens
a new school today. Will
factories become more
productive tomorrow?**

Time lags and opportunity cost

Time lag 时间滞后

Education can take years to change workers' skills and output.

Opportunity cost 机会成本

Money spent on training cannot also fund the next-best alternative, such as healthcare.

Check

Which statement identifies an opportunity cost?

- ☐ A Training benefits take five years to appear.
- ☒ B Funding training means giving up a planned healthcare improvement.
- ☐ C The training teaches useful skills.
- ☐ D Productivity rises after the course.

Check

Which statement identifies an opportunity cost?

- ☐ A Training benefits take five years to appear.
- ☒ B Funding training means giving up a planned healthcare improvement.
- ☐ C The training teaches useful skills.
- ☐ D Productivity rises after the course.

Opportunity cost is the next-best alternative forgone, not the delay before benefits appear.

**A training programme raises
average skills. Could some
people still gain little from it?**

Targeting and access

Targeting 针对性

Courses must match the skills firms actually need.

Access 获得机会

Benefits may favour workers or regions that can access the programme.

Complete the missing sentence

与同伴一起，写出一条有条件的政策判断。

1 Government-funded training may reduce unemployment.

2



3 A course with no suitable job opportunities may have little effect.

Complete the missing sentence

与同伴一起，写出一条有条件的政策判断。

1 Government-funded training may reduce unemployment.

2 It is more likely to work if the course teaches skills needed for available jobs.

3 A course with no suitable job opportunities may have little effect.

Discuss whether improving education can help a government achieve its macroeconomic aims. [8]

PLAN YOUR ANSWER

1

productivity

2

employment

3

prices

4

exports

5

opportunity cost

Plan a developed benefit, a developed limitation and a judgement explaining when the policy is most effective.

Discuss whether improving education can help a government achieve its macroeconomic aims. [8]

MODEL ANSWER

Improving education can raise workers' skills and **productivity**. Firms can then produce more output per worker, raising productive capacity and allowing real GDP to increase. Better qualifications can also help unemployed workers match vacancies. However, education takes years to affect the workforce and has an **opportunity cost**: funding it may mean giving up healthcare improvements. If courses do not teach the skills employers need, **unemployment** may remain high. Education is therefore more likely to help when it targets skills shortages, is accessible to the people who need it and is supported by demand for their work.

Discuss whether supply-side policies are the best way to reduce inflation. [8]

PLAN YOUR ANSWER

1

productivity

2

costs

3

time lag

4

demand-pull
inflation

5

monetary policy

Plan a developed benefit, a developed limitation and a judgement explaining when the policy is most effective.

Discuss whether supply-side policies are the best way to reduce inflation. [8]

MODEL ANSWER

Supply-side policies can reduce inflation if they raise **productivity** and lower firms' **costs**. Lower **costs** can reduce cost-push inflation and higher output can reduce pressure on prices. However, there may be a long **time lag**, and these policies may not solve **demand-pull inflation** quickly. **Monetary policy** may be more effective if inflation is caused by excessive spending.

Exit ticket

离堂小测

- 1 Supply-side policy can raise long-run output by increasing productive .
- 2 It may improve price stability by lowering production .
- 3 It may improve the current account by raising international .
- 4 Evaluation should mention time lags, targeting or opportunity .

Answer before leaving.

Exit ticket

离堂小测

- 1 Supply-side policy can raise long-run output by increasing productive **capacity** .
- 2 It may improve price stability by lowering production **costs** .
- 3 It may improve the current account by raising international **competitiveness** .
- 4 Evaluation should mention time lags, targeting or opportunity **cost** .

Answer before leaving.